

H1 2026 Mid-Year Review

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Review Period: January 1 – June 30, 2026

Executive Summary

The first half of 2026 was defined by a pivotal shift in monetary policy. After holding rates steady in Q1, the Fed delivered a 25bps cut in May that ignited a broad rally. Equities posted double-digit gains for the half, while bonds recovered from a weak start.

H1 2026 Scorecard:

- S&P 500: +12.6% (Q1: +4.1%, Q2: +8.2%)
- NASDAQ: +17.9% (Q1: +5.8%, Q2: +11.4%)
- US Agg Bond: +0.9% (Q1: -0.3%, Q2: +1.2%)
- Gold: +16.1% (Q1: +9.3%, Q2: +6.2%)

H1 Equity Performance Summary

Cumulative Sector Returns — H1 2026

Sector	Q1	Q2	H1 Total

Technology	+8.2%	+14.3%	+23.7%
Healthcare	+5.4%	+9.1%	+15.0%
Financials	+4.6%	+7.8%	+12.8%
Consumer Disc.	+3.1%	+6.5%	+9.8%
Industrials	+2.8%	+5.2%	+8.1%
Utilities	+1.5%	+3.9%	+5.5%
Energy	+2.3%	-3.1%	-0.9%
Real Estate	-0.4%	+2.1%	+1.7%
Materials	-1.2%	+1.4%	+0.2%
Consumer Staples	+0.6%	+0.8%	+1.4%

Technology dominated H1, driven by AI infrastructure spending and strong earnings from mega-cap names.

H1 Fixed Income & Macro Recap

The Rate Cut That Changed Everything

Q1 was characterized by a 'higher for longer' narrative. Bonds struggled as the market pushed rate-cut expectations further out. The turning point came at the May FOMC meeting when the Fed surprised with a 25bps cut, citing softening labor data and cooling inflation.

Rate Path — H1 2026:

Jan: 5.00% (hold) Apr: 5.00% (hold)
Feb: 5.00% (hold) May: 4.75% (cut 25bps)
Mar: 5.00% (hold) Jun: 4.75% (hold)

Impact on Fixed Income:

- Investment grade spreads tightened 20bps
- High yield spreads tightened 45bps
- Mortgage rates fell from 7.1% to 6.8%

H1 Risk & Volatility Analysis

Market Volatility — H1 2026

Metric	Q1	Q2	H1 Avg	

VIX Average	18.4	16.2	17.3	
VIX Peak	24.1	19.8	24.1	
S&P 500 Max Drawdown	-3.8%	-2.1%	-3.8%	
Credit Spread (IG)	108bps	95bps	102bps	

Key Risk Events in H1:

- January: China property sector concerns (VIX spike)
- March: European banking stress (brief sell-off)
- May: Pre-FOMC volatility followed by relief rally

Overall, realized volatility trended lower through H1 as the rate cut provided a confidence boost to markets.

H2 2026 Outlook & Strategy

Outlook for the Second Half of 2026

The key question for H2: will the Fed continue cutting?

Markets are pricing two additional cuts by year-end.

Scenario	Probability	S&P 500 Target
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Bull (2 cuts)	45%	6,200 (+6.1%)
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Base (1 cut)	35%	5,950 (+1.8%)
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Bear (0 cuts)	20%	5,500 (-5.9%)
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Strategic Recommendations for H2:

- Maintain equity overweight, rotate toward quality
- Lock in yields with intermediate-term bonds
- Reduce gold allocation after strong H1 run
- Watch election-related volatility for entry points

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